UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Philadelphia Regional Office — Office of Compliance Inspections and Examinations

Preliminary Findings Memorandum

To: D. Whitlatch, Examiner in Charge; R. Achterberg, Branch Chief
From: P. Raghunathan, Examiner
Date: March 18, 2011
Re: Marchwood Asset Management LLC — Examination 2011-0447 — preliminary findings following fieldwork

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1. Registrant profile

Registrant	Marchwood Asset Management LLC
SEC File No.	801-64719
Principal office	1717 Walnut Street, Suite 2200, Philadelphia, PA 19103
Regulatory assets under management (12/31/2010)	$612,000,000
Client accounts (12/31/2010)	1,140
Supervised persons	34
Managing member	A. Penhaligon
Chief compliance officer	M. Vasseur-Kyle (since 2009)
Prior examination	None. This is the registrant's first examination since registration in 2002.

The firm has grown by acquisition. It purchased the advisory book of Ridgeley Coombe & Associates in 2009 (83 accounts) and of Talmadge Vance Investment Counsel in 2010 (117 accounts).

2. Preliminary finding — custody (Rule 206(4)-2)

Finding. Marchwood's standard investment advisory agreement, at Section 6(c), grants the adviser standing authority to instruct the client's custodian to withdraw or transfer funds or securities from the client's account, including but not limited to amounts due to the adviser as advisory fees. In practice the adviser has used the authority only to debit its fees, quarterly in arrears, and the custodian executes the instruction without separate client authorization or confirmation. The authority conferred, however, is not limited to the fee.

Population. Section 6(c) appears in 214 of the 1,140 advisory agreements in force at December 31, 2010. Those accounts hold approximately $198,000,000. The remaining 926 accounts are billed by invoice and the client instructs its own custodian.

Analysis. Rule 206(4)-2(d)(2)(ii) defines custody to include "any arrangement (including a general power of attorney) under which you are authorized or permitted to withdraw client funds or securities maintained with a custodian upon your instruction to the custodian." Section 6(c) is such an arrangement. The definition turns on the existence of the authority, not on the amount that may be withdrawn or on whether the adviser could have taken more than its fee.

The amendments to Rule 206(4)-2 adopted in December 2009 and effective March 12, 2010 require an adviser with custody to undergo an annual surprise examination by an independent public accountant under paragraph (a)(4), and require the accountant to file Form ADV-E within 120 days of the time chosen by the accountant for the examination.

The exception at paragraph (b)(3) relieves an adviser of paragraph (a)(4) only where it has custody **solely** as a consequence of its authority to make withdrawals from client accounts to pay its advisory fee. Section 6(c) is not so limited on its face. The staff reads the exception against the authority conferred rather than against the use the adviser has so far made of it, and on that reading the exception is unavailable to Marchwood. Signal Peak and the incumbent custodians are unaffiliated with the adviser, so paragraph (b)(6) is not in issue.

Consequences observed.

Requirement	Status
Surprise examination for calendar year 2010	Not obtained
Independent public accountant engaged for calendar year 2011	Not engaged
Form ADV-E filed	None filed
Form ADV Part 1, Item 9.A.(1)(a) — custody of client cash or bank accounts	Answered “No”
Form ADV Part 1, Item 9.A.(1)(b) — custody of client securities	Answered “No”
Compliance manual custody procedure	None. The manual has no custody section.

Sampling. Instructions transmitted under Section 6(c) were traced for 40 accounts across eight quarters. Every instruction in the sample was for an advisory fee; none was for any other purpose. That is a fact about the adviser’s practice and not about the authority the agreement confers. All 40 were transmitted by Marchwood personnel. No instance was found of a client separately authorizing an individual debit. Two instructions in Q3 2010 were transmitted in an incorrect amount and corrected by the adviser in the following quarter; both are documented in the errors log and neither is a finding on its own.

3. Other preliminary findings

Item	Rule	Summary
Annual compliance review	206(4)-7	The 2009 review is undocumented; the 2010 review is a two-page memorandum that does not describe testing.
Code of ethics reporting	204A-1	Access person quarterly transaction reports missing for 6 of 8 quarters for 4 of 11 access persons.

Item	Rule	Summary
Advertising — composite	206(4)-1	Composite performance presented net of fees in one place and gross in another within the same document, without disclosure.
Advertising — client list	206(4)-1	Pitch book includes a partial client list selected by account size.
Books and records	204-2	No retained electronic communications for January 2009 through March 2010. The firm changed archiving vendors and the prior vendor's data was not retrieved.

4. Recommendation

Issue a deficiency letter covering six items. Item 4 (custody) is the only item on which the staff should expect a substantive response, and it is the item on which the disposition of this examination should turn.

P. Raghunathan
Examiner, Philadelphia Regional Office